

**Draft for exact-file review**

Proposed language. Accepted source facts retain their original status. No execution, filing, payment or clearance is established by this edition.

Red Wash supplemental assignment, consent and title-cure escrow instruments

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This is a proposed synthetic instrument for exact-content review. It has not been signed, adopted, delivered to a counterparty or made effective. Existing accepted facts cited below remain controlling; new clauses are proposed terms, not retrospective evidence.

Operative-text convention: The clauses below are proposed contract language. “Shall” describes an obligation only upon future authorized execution and satisfaction of the stated conditions; no obligation, access right or operational activation arises from this unsigned draft.

1. Purpose and transaction boundary

This proposed packet contains four related forms: a limited confirmatory assignment, a counterparty consent, an easement-correction agreement and an escrow claim/release direction. They address documentary gaps around the accepted July 18, 2025 membership-interest acquisition. They do not assert that a missing consent was delivered, an easement was corrected, a permit transferred or escrow released.

Pale Sun Inc. acquired all equity interests of Red Wash Mining, LLC from Northstar Minerals, Inc. The operating company's continued ownership of its scheduled assets must not be rewritten as a blanket direct asset purchase by Pale Sun. A confirmatory assignment shall be used only if a particular scheduled right requires it and the transferring party actually holds that right. The form must not convey Red Wash's own property away from Red Wash merely to populate a bill-of-sale exhibit.

Northstar is identified as the historical seller. Its execution of any proposed supplemental document is unestablished. Red Wash retains operating command; neither a seller's title assurance nor a buyer's financial approval substitutes for the responsible operating disposition.

2. Instrument A — limited confirmatory assignment

For an identified item in Schedule A, the proposed assignor shall transfer to the identified assignee only the right, interest and associated records that the assignor holds and is permitted to transfer under the governing instrument. The assignment shall specify the exact underlying agreement or asset record, parties, original date, amendments, geographic exhibit where applicable and excluded interests.

No representation of transferable title shall arise from a general asset category. Where consent, notice or another condition is required by the underlying instrument, the transfer shall become effective only as provided in the separately accepted consent and condition schedule. Pending satisfaction, the item shall remain labelled unresolved. This draft proposes no workaround under which the buyer exercises a nontransferable right through an undisclosed agency arrangement.

Assumed obligations shall be listed individually with their effective boundary. Pre-close liabilities, ARO, environmental responsibilities, royalty obligations and other assumed liabilities retain their accepted transaction treatment. The supplemental assignment shall not expand the \$2.5 million other-liability schedule or extinguish the \$16 million accounting ARO. Delivery of records supports administration; it is not a warranty that the source models are technically correct.

The proposed assignor shall deliver copies of the native instrument and amendments, preserve original metadata and disclose known inconsistent names or descriptions. A source index shall identify missing originals explicitly. The assignee shall acknowledge receipt of the listed items only, without treating a receipt acknowledgment as acceptance of title quality or release of claims.

3. Instrument B — counterparty consent and acknowledgment

The consenting party shall be identified from the actual underlying contract or right, with its authority and address completed before execution. The form shall state precisely whether the proposed consent concerns change of control, assignment, continued performance, notice or another requirement. It shall not combine those different matters under an unexplained consent checkbox.

The consenting party shall acknowledge only the specified transaction and agreed continuation of the named instrument. Except for express amendments in the executed schedule, rates, term, performance obligations and existing remedies shall remain unchanged. A consent shall not waive an undisclosed breach, release unrelated liabilities or constitute an insurer or regulator approval. Any fee or condition demanded for consent shall require a separately supported commercial decision.

Proposed continuation language shall preserve Red Wash as the performing operating party where the right is already held by Red Wash. Pale Sun's ownership shall not make it the mine operator or holder of every permit. If no consent is needed under the reviewed instrument, the record shall state the basis and reviewer instead of manufacturing a signed consent for completeness.

4. Instrument C — predecessor-name easement correction

The proposed parties shall identify the easement grant, recording reference if established, burdened and benefited interests, historical names and current legal holders in a dedicated exhibit. Each claimed identity succession shall be supported by the relevant corporate or property record. A matching similar name in a model is not sufficient.

The intended correction shall confirm the supported identity of a party or description without enlarging the easement's scope. It shall create no new route, parcel, crossing, rail connection, water right or public access. The accepted mine has no adopted direct mine rail spur. A drawn road or utility line is not a substitute for the legal description of the right being corrected.

Any proposed change to width, permitted use, burdened land, maintenance responsibility, duration or beneficiary shall be shown as a substantive amendment and reviewed separately. It must not be disguised as a typographic correction. The parties shall identify whether a new signature, filing, recording or external acceptance is needed after reviewing the actual instrument; this draft does not state a universal legal rule or claim that such action occurred.

Pending cure, operations shall follow the existing responsible-owner disposition for the affected access or service. A disputed property record is not resolved by continued operational use. Conversely, a missing copy in this packet is not proof that the underlying right is invalid. The case reader must distinguish a record gap, an asserted defect, a claim and an adjudicated outcome.

5. Schedule A — item-specific work sheets

Item key	Accepted issue/category	Instrument proposed	Required identification before use
RW-TITLE-01	Predecessor-name easements	Identity/description correction agreement	Original grant, holders, succession chain, accepted property exhibit
RW-TITLE-02	Scheduled customer/utility contracts	Consent or notice acknowledgment where applicable	Original contract and clause; counterparty; transaction trigger
RW-TITLE-03	Transferable assets, records and warranties	Limited confirmatory assignment if an assignment is actually needed	Assignor's existing interest; excluded rights; delivery list
RW-TITLE-04	Permits, licences and other restricted interests	Evidence request and separately reviewed authority instrument	Issuing authority, holder, status and applicable required action
RW-TITLE-05	Specified title/environmental conditions	Supported escrow claim or joint release direction	Claim basis, amount, evidence and decision authority

The rows identify supported categories, not five discovered defects of fixed value. Item-specific identifiers from the native permit, contract or asset register must be carried into each completed sheet. Generic RW-TITLE keys must not replace existing native IDs.

6. Instrument D — escrow claim notice

The accepted transaction establishes a \$3 million environmental/title escrow for 36 months. It addresses predecessor-name easement cure, specified pre-close groundwater/tailings obligations, property/ad-valorem adjustments and special representation claims. This proposed notice form shall identify the underlying escrow instrument, claimant, recipient, claim category, facts, estimated amount, supporting records and requested reservation of funds.

A notice shall distinguish a quantified supported loss from an estimate or contingent exposure. The amount claimed shall not become an accounting expense or admitted liability merely by submission. The submitting party shall update the estimate when evidence changes and identify withdrawn components rather than silently overwriting the original notice. No notice is completed or deemed served in this draft.

An escrow administrator is not named because appointment evidence is absent from this packet. The proposed recipient and service method must be completed from the accepted escrow instrument before a notice is sent. A repository commit date is not delivery to the administrator or counterparty.

7. Joint release direction and disputed balances

A proposed joint direction shall state opening confirmed escrow balance, prior supported releases, interest or charges if established, amount reserved for each live claim, amount now authorized for release, recipient and remaining balance. It shall identify the authority and instrument supporting release. The direction shall require both specified parties' approvals or another supported authority route under the governing agreement; none is presumed here.

An unresolved claim shall remain separately identified. The passage of 36 months alone is not entered here as proof of automatic release, because the supporting claim and administration record is absent. The proposed forms do not specify an invented bank account, reference number, interest rate or paid amount. An unsigned release direction is a candidate instruction, not a cash event.

8. Consideration and escrow reconciliation

Component	Accepted gross allocation USD	Current evidence treatment
Direct seller payment in reconstructed closing allocation	24,500,000	Within total consideration; not a new bank confirmation
Environmental/title escrow	3,000,000	Within consideration; current balance/release evidence not supplied
Separate holdback	500,000	Within consideration; not merged into escrow

Component	Accepted gross allocation USD	Current evidence treatment
Total consideration	28,000,000	Preserved selected case

The escrow and holdback must not be added to consideration a second time. Red Wash's escrow is separate from the later ARU transaction. The \$25 million current-cost closure scenario is not the escrow amount and is not interchangeable with the acquisition ARO. No proposed title instrument revises those measures or turns a claim into goodwill.

9. Review and execution limitations

Each completed instrument shall be reviewed against its native source and confined to the identified item. Counsel review shall address legal capacity, authority, required consent, applicable law and any external filing or recording. Operating review shall address continuity and restrictions. Finance shall reconcile any approved payment or liability consequence to the existing books without netting unrelated claims.

Proposed signature blocks shall identify roles only until authorized signatories and execution dates are established. This packet supplies no signatures, seals, recorded-document number or external determination. Its completion supports review of the missing instruments; the underlying title, consent and escrow facts remain unresolved until supported evidence or an accepted fictional decision establishes them.

Execution and schedule completion

The parties shall complete the following fields for the specific instrument or deployment selected. An unfilled field is not zero, waived, agreed or inapplicable. No name or mark is placed in a signature cell. A role listed for review is not an additional contracting party.

Completion field	Proposed entry / current state
Selected instrument and schedule	UNSELECTED — identify exact site, deployment, right or service
Contracting party completion	Known parties are named in the clauses; confirm any unselected counterparty and individual authority before execution
Effective date and any separate commencement/activation date	UNESTABLISHED; no backdating
Material commercial variables not fixed in the clauses	UNAGREED; complete the relevant financial schedule before execution
Accepted exhibits and revisions	NOT ATTACHED; identify authoritative boundaries and source records
Governing law, forum and notice addresses	UNAGREED; definitive legal review required
Open exceptions and conditions precedent	UNSATISFIED unless individually supported in the execution record

Party / review role	Signatory name and authority reference	Signature / acknowledgment	Date
Actual assignor / historical seller as applicable — authorized signatory	UNESTABLISHED	NOT SIGNED	UNESTABLISHED
Actual assignee / RWH as applicable — authorized signatory	UNESTABLISHED	NOT SIGNED	UNESTABLISHED
Identified consenting party or easement holder — authorized signatory	UNESTABLISHED	NOT SIGNED	UNESTABLISHED
Identified escrow administrator — acknowledgment where required	UNESTABLISHED	NOT SIGNED	UNESTABLISHED

Execution of this form shall not constitute satisfaction of a separate condition precedent. The commencement or activation record shall list each accepted exhibit and unresolved exception, identify who may authorize the next step, and remain separate from any record of cash payment or performed service.

Source documents

- [red_wash/agreements/TRANSACTION_AND_COMMERCIAL_INSTRUMENTS.md](#)
- [industrial/transaction/01_RW_TRANSACTION_FILE.md](#)
- [docs/canon/RED_WASH_TRANSACTION_OPERATING_RECORD_2026-09-05_R2.md](#)
- [red_wash/source/core_operating_data.json](#)